

action a laundry brand

Accelerate With Traditional Trade

OVERVIEW

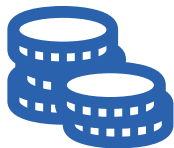
In the context of a **constantly changing market** and **fierce competition** among rivals



ACTION, currently the **2nd largest key player** in the laundry industry, has seen rapid growth over the three-year period from 2013 to 2015.

Action **aims to become a market leader** by surpassing Big – the current "giant" in the laundry industry. Therefore, understanding the market landscape and competitive environment is essential.

This report is intended to help Action identify:



Industry landscape and
potential

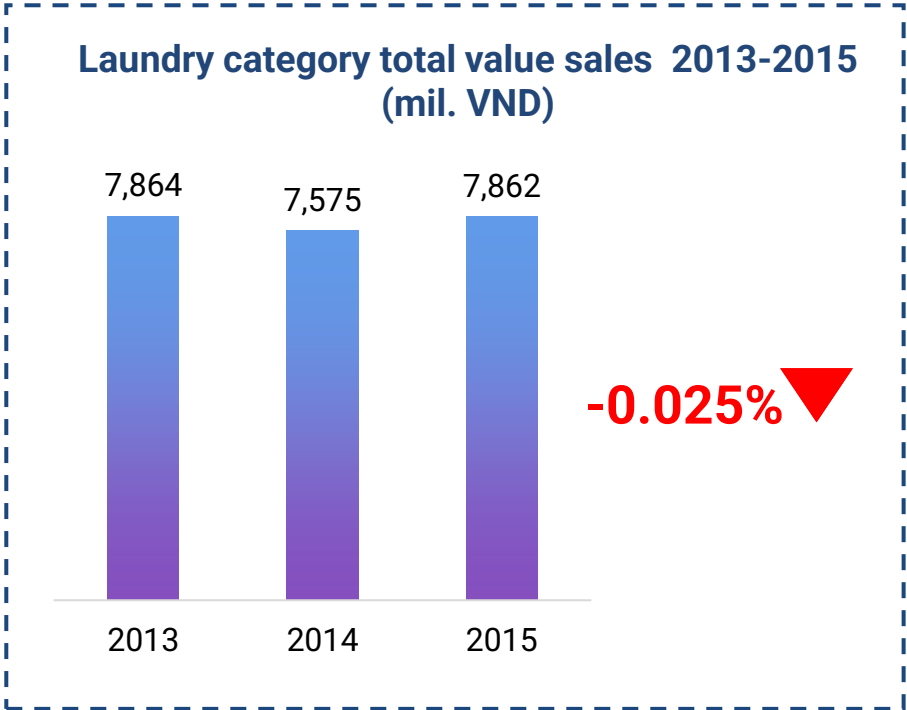
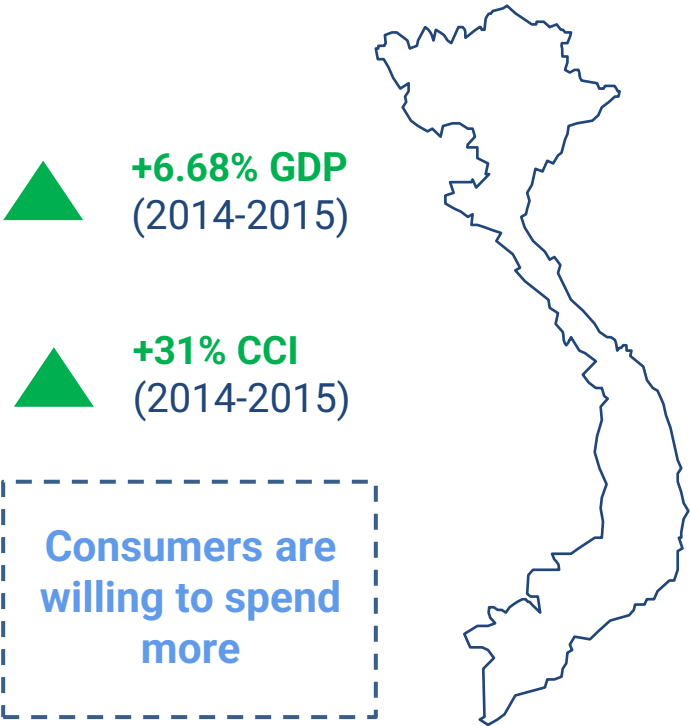


Growth opportunities
by region, channel and
product



Recommendation

THE LAUNDRY INDUSTRY IS EXPERIENCING SATURATION



Vietnam's economic outlook is positive; however, market indicators for the laundry industry show the opposite trend, remaining largely unchanged or even **slightly declining by 0.025%** during the 2013-2015 period.

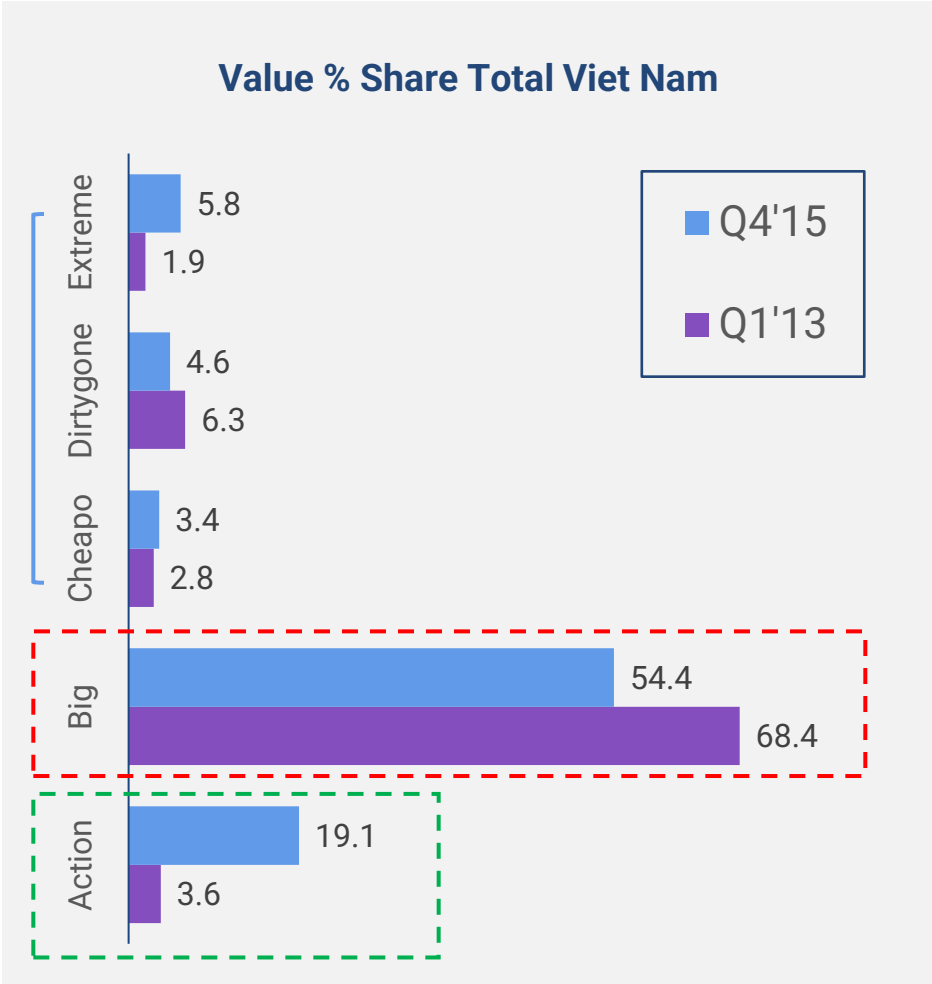
MARKET LEADER – BIG IS GRADUALLY LOSING ITS POSITION

Big is gradually losing a considerable amount of market share to competitors, particularly Action.

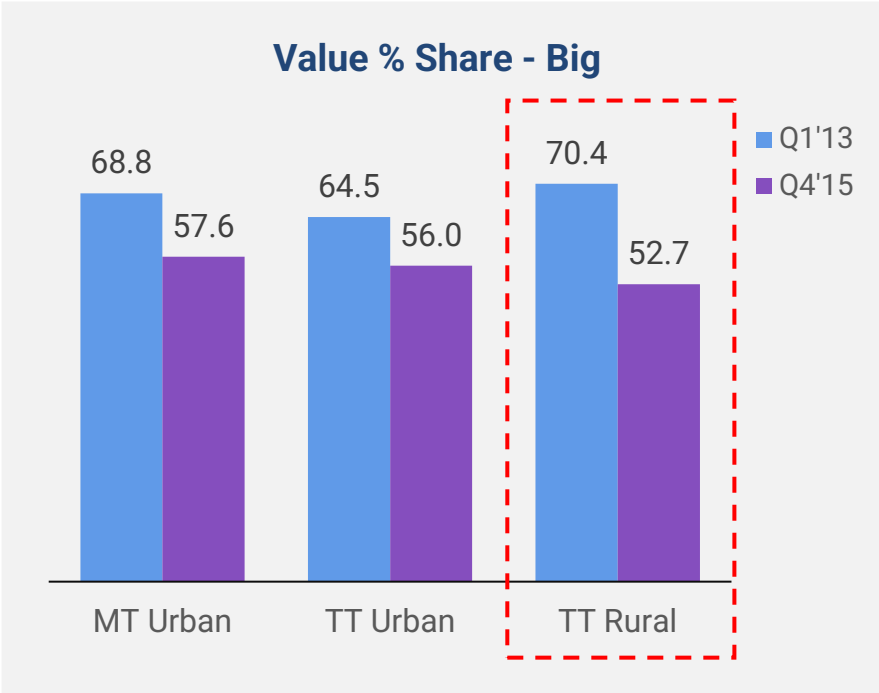
Cheapo, Dirtygone and Extreme saw a slight change

-13% ▼ Big's market share was steadily declining.

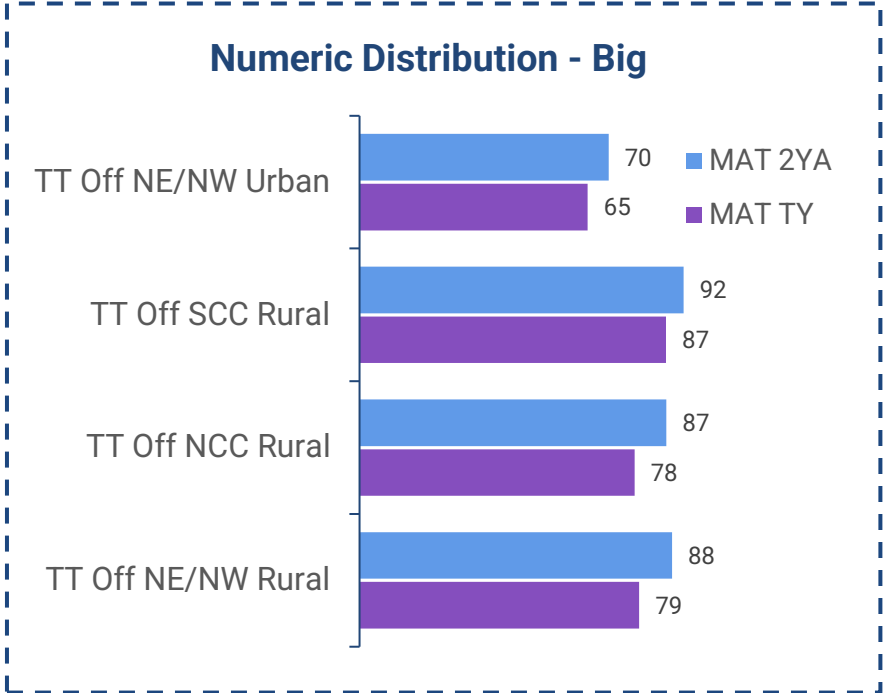
+15.5% ▲ Action was accelerating



BIG EXPERIENCED LOSS ACROSS ALL CHANNELS AND REGIONS

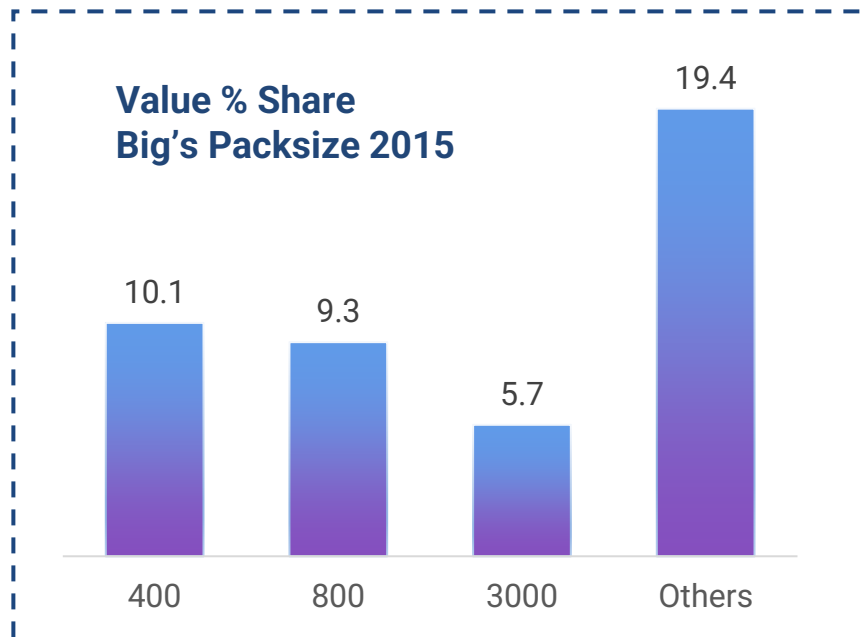


Big is losing share in both the **MT and TT channels**, and in both **urban and rural** areas. Particularly in **TT Rural**, there was the biggest drop in the past 3 years: **70,4% down to 52,7%**



The shrinking numeric distribution indicated a **decrease in the number of stores selling Big products**, primarily in **Rural**.

BIG USERS FAVOR ITS STRENGTHS IN PRODUCT EFFICACY, DIVERSE PRODUCT PORTFOLIO AND PACKSIZES



Big products come in many sizes, giving consumers more choices. All have a **high market share**, especially **category winners** like size 400, 800, 3000.



Market Leader

Big holds the largest market share in the industry, giving them significant influence and market direction.



Product Features

Home usage study shows that Big completely removes stubborn stains, focusing on product quality and final results.

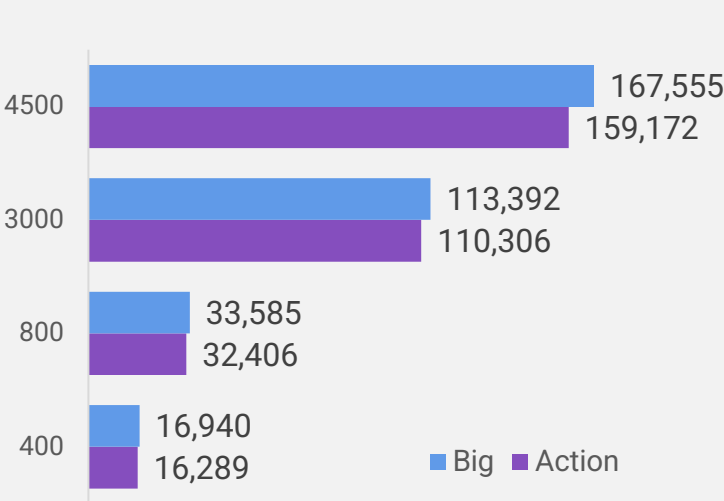


Diverse Product Range

Baby Liquid, Scented Liquid, Regular Liquid, Regular Powder, Scented Powder, Baby Powder

HOWEVER, BIG HAS WEAKNESSES IN ITS PRICING AND LACK OF PROMOTION

Price Per Pack Size

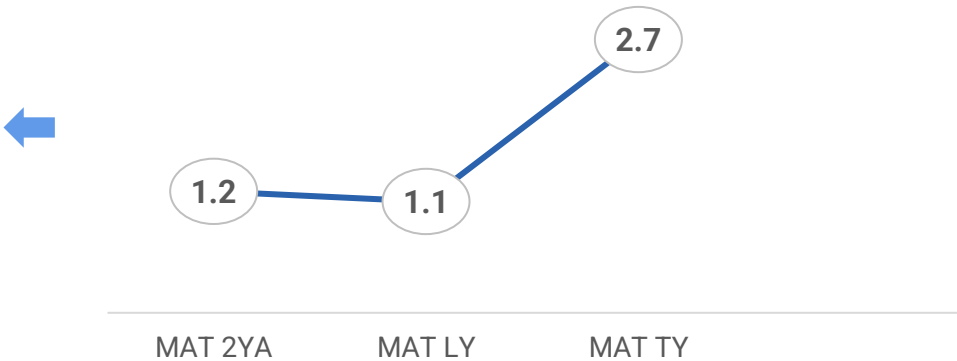


Average Price Index vs Category

Total Laundry	100
Action	98
Big	106
Cheapo	76
Dirtygone	77
Extreme	132

With its price per packsize surpassing Action and average price index at 106 (+6 vs Total Laundry), **Big's prices are among the highest** compared to most competitors except Extreme.

Value % Share of Big's Items which have promotion



While the number of products sold as part of Big's **promotional bundles** has increased, it still **accounts for a small percentage** of Big's total revenue in Vietnam.

ACTION ACCELERATES AND BECOMES BIG'S LARGEST COMPETITOR

Action enjoys a significant growth across its portfolio, with **Laundry contributing to 80% of its total**

Action Laundry Value Sales in 2015

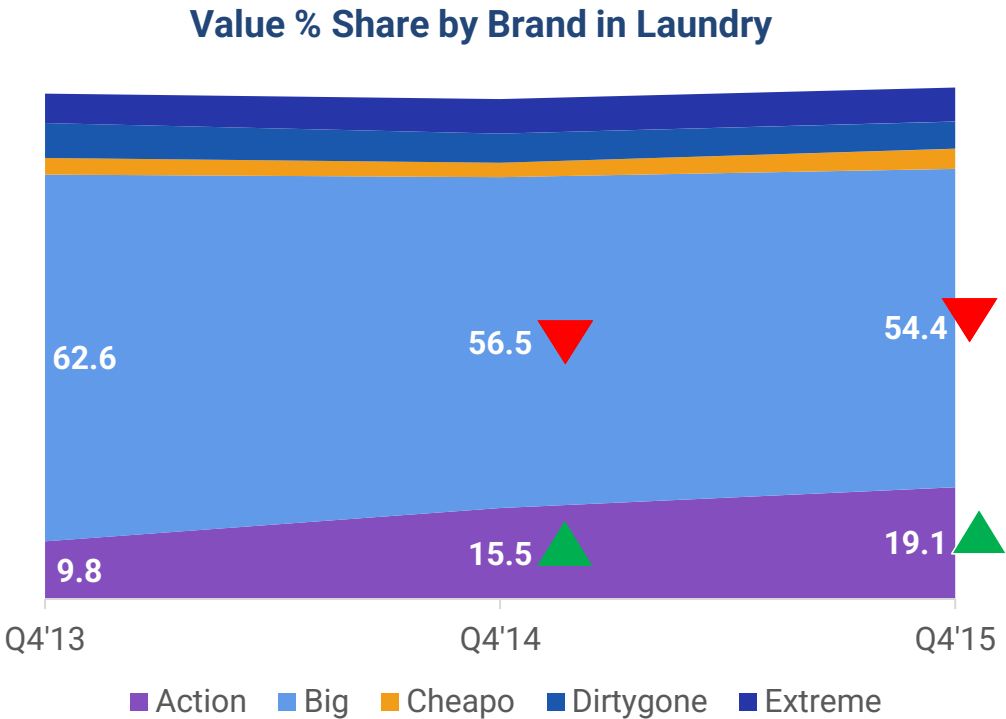
▲ +215,91%

vs 2013

Total Action Value Sales in 2015

▲ +142,01%

vs 2013



Big's value share was more than **6x as much as Action** in 2013, but over a 3-year period, the **gap was remarkably narrowed down to 2.8x** when Action and Big's share hit 19.1% and 54.4% respectively. Action, currently, is driving the market right after Big.

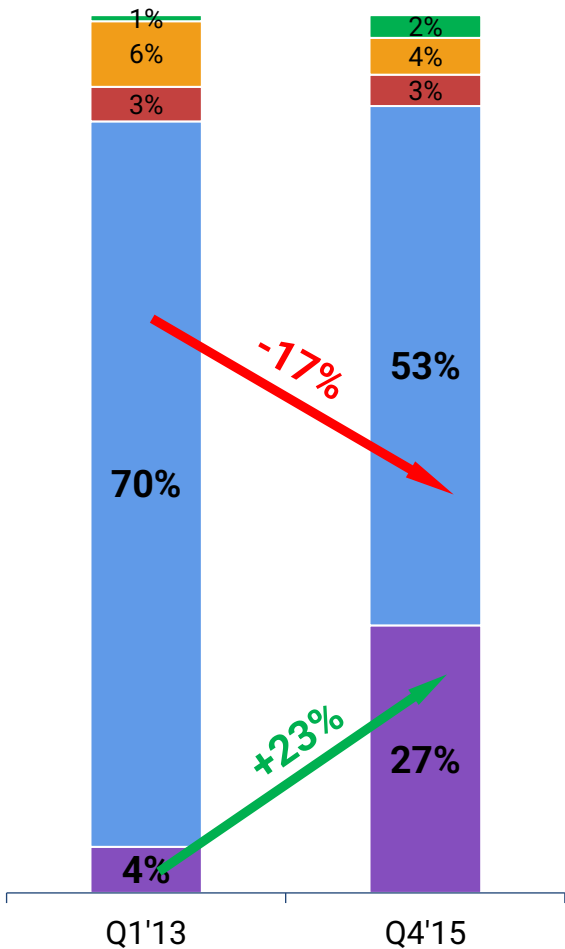
TT RURAL, THE BIGGEST CHANNEL OF LAUNDRY CATEGORY IS SEEING A RAPID GROWTH OF ACTION

Value % Share of Trade

Product	Action	Big
MT Urban	2.9	11.9
TT Urban	18.8	35.2
TT Rural	78.3	52.9

Value % Share in TT Rural

Action Big Cheapo Dirtygone Extreme

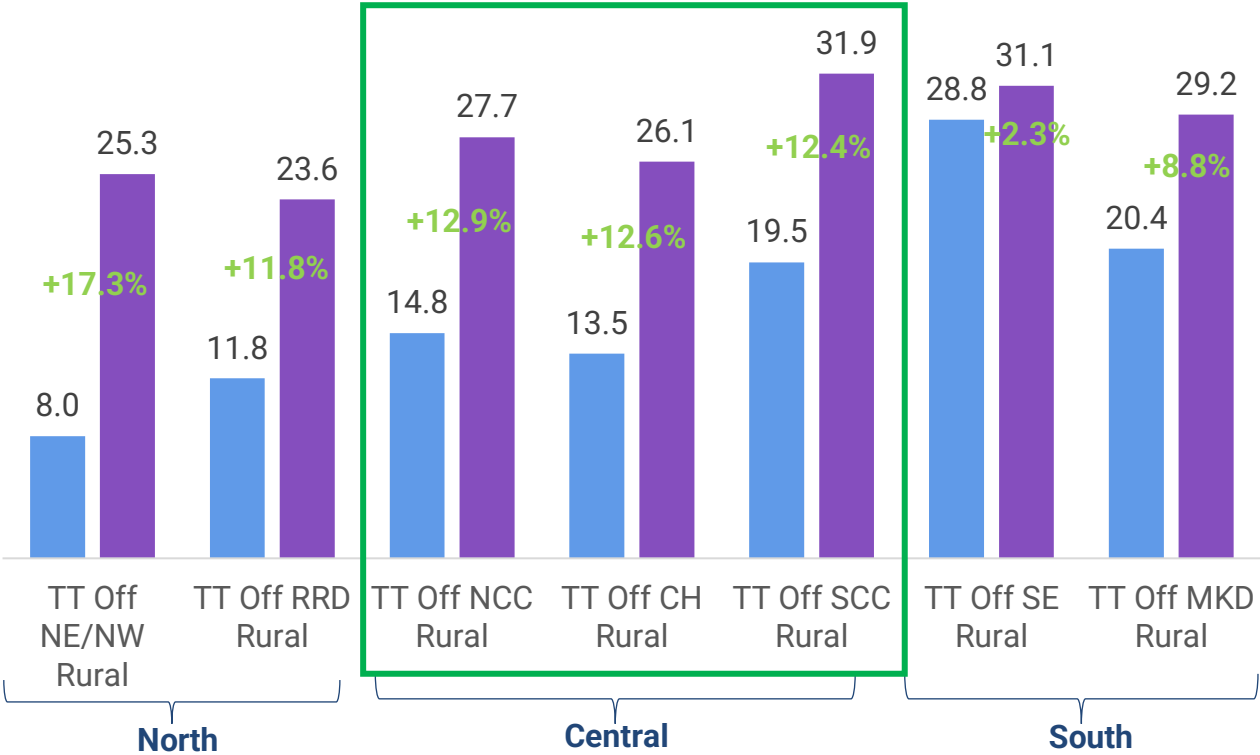


- TT Rural accounts for **52.9%** and **78.3%** of the value share of trade of Big and Action respectively, making it the most important channel of laundry.
- After 3 years, while Action’s value share in TT Rural grew **6x to reach 27%**, Big witnessed a **drop by 17%, hitting 53%**.

TT SOUTH & CENTRAL RURAL ARE STRATEGIC CHANNELS OF ACTION

Value % Share of Action in TT Rural

MAT 2YA MAT TY

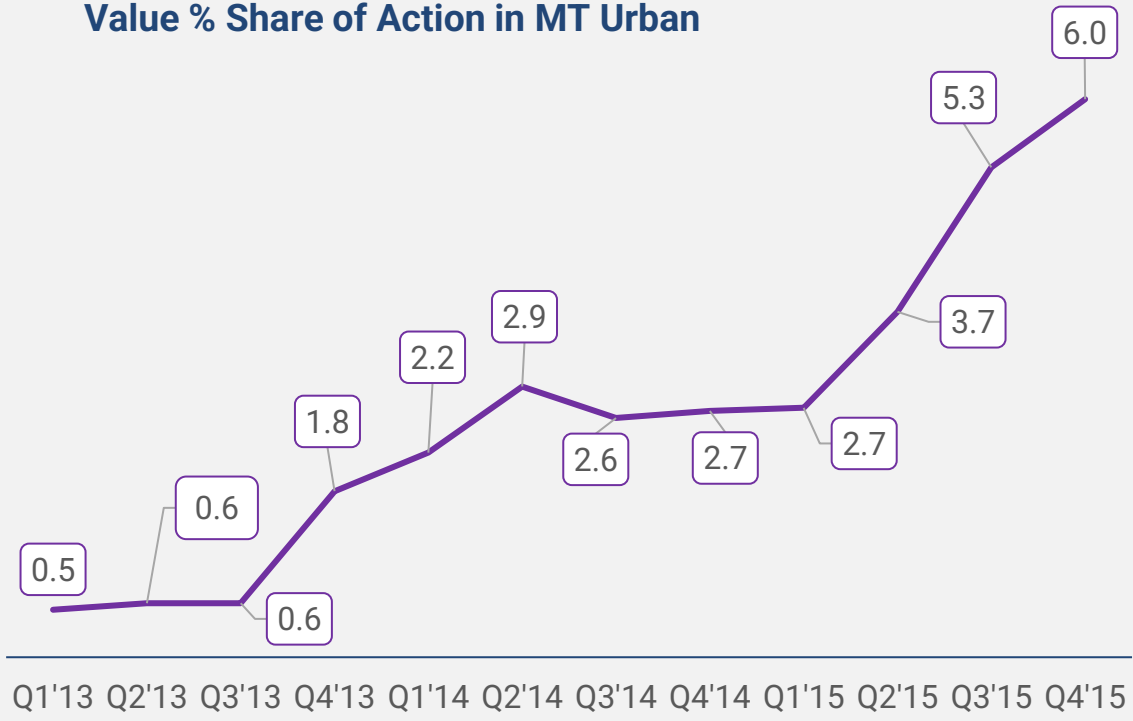


Although **TT South Rural**’s growth was more modest than other regions (increased <10%), it was actually **Action’s foothold** due its **top share (around 30%)** and **strong adoption** from the beginning.

TT Central Rural, despite not being a top starter, ended up becoming a **critical channel** of Action after 3 years with an average **growth of 12.6%**.

MT URBAN IS STILL SMALL YET POTENTIAL FOR ACTION IN THE LONG RUN

Value % Share of Action in MT Urban



Value % Share of Brands in MT Urban

Brands	Q1'13	Q4'15
Action	0.5	6.0
Big	68.8	57.6
Cheapo	1.8	3.0
Dirtygone	3.8	4.4
Extreme	5.2	13.5

Given that Action held a relatively modest initial share in the MT Urban, **Action rose 12x in MT Urban** from 0.5% to 6% during 2013-2015 period which is a remarkably impressive growth, surpassing Cheapo and Dirtygone that had a much better starting point.

AFFORDABLE LAUNDRY POWDER IS A GOOD SEGMENT TO DEVELOP IN TT RURAL

ACTION USERS

Less meticulous/Willing to spend more time & effort aiding the detergent’s performance

Focus on **getting the laundry job done** in a most **cost-efficient manner** (wash more, cost less)

TT Rural is the **key channel to Action in particular (contributing to 78% total brand sales) and laundry category in general**

Action Regular Powder is the most budget friendly out of Action product range and has a lower average price index vs category (97). It shows strong growth potential and can bring high market share to Action when distributed through the TT Rural .



EFFICIENCY-DRIVEN

Cost-saving

Quantity

Scale perspective

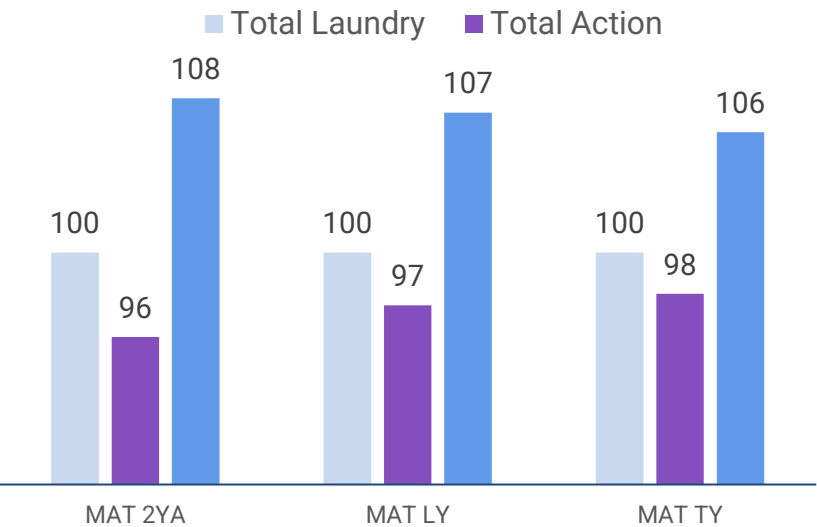
Match

Average Price Index vs Category

Total Laundry	100
Action Scented Powder	107
Action Regular Powder	97

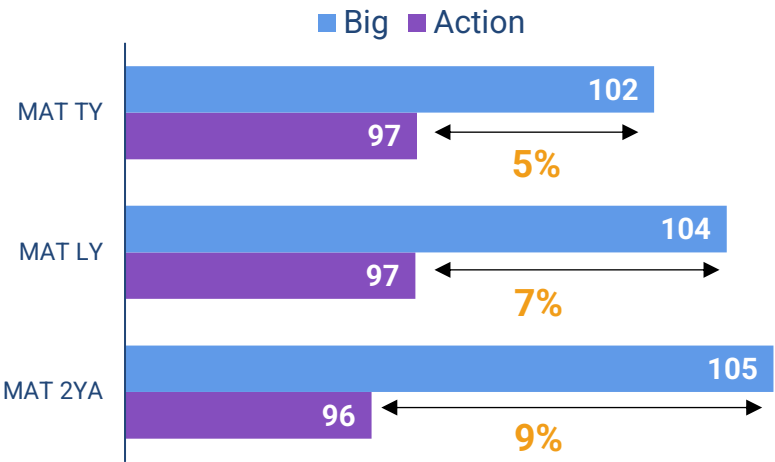
ACTION ALSO HAS A COMPETITIVE PRICE ADVANTAGE OVER BIG TO COMPETE IN LOW-COST SEGMENT

Average Price Index 2013-2015



Action's average price index is **lower** than the industry average (2-4%), while **Big's** is **higher** than the industry average (6-8%)

Average Price Index of Regular Powder 2013-2015



The average price index in the regular powder segment shows a noticeable difference. Despite trying to lower its price overtime, **Big is still 5% higher than Action now.**

LIQUID DETERGENT IS ANOTHER OPPORTUNITY FOR ACTION

	Scale of 2015 (bil.VND)	Growth 2014-2015	CAGR 2012-2015
Laundry Care	31,852	21.3%	16.7%
Powder Detergent	21,447	17.9%	12.4%
Liquid Detergent	2,353	24.5%	32.8%



The liquid detergent market in Vietnam is experiencing **strong growth**, with a high CAGR of **32.8% (2012-2015)**

Big is the only brand that offers laundry liquid detergent.

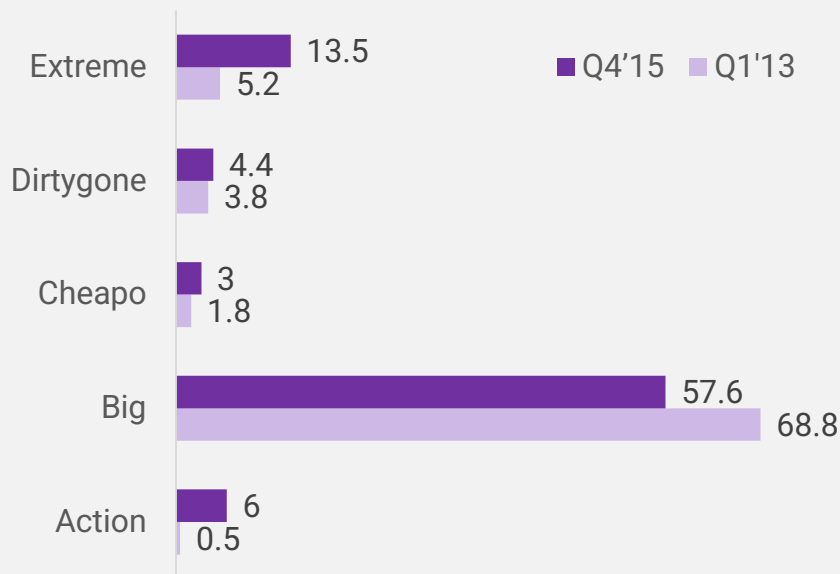
Cheapo, Dirtygone, and Extreme have **NOT** yet entered this market.



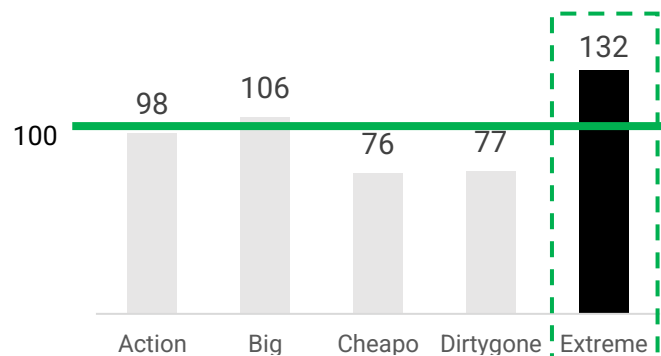
Opportunity for a new liquid product launch to break Big's monopoly and profit the low competition. The whole liquid market is only in its **early stage** – a **win-win** for every company

ACTION CAN TAP INTO PREMIUM LIQUID DETERGENT IN MT URBAN

% Value Share by MT Urban



% Average Price Index in Laundry



Extreme successfully built its brand in MT Urban with premium products **priced significantly higher** than the industry average, by up to **32%**.

- **Big** saw an **11.2% drop**, gradually losing its share
- **Action** increased **6x**, but total share was still not significant
- **Extreme** became **top 2 in MT Urban**

"The rapid growth in Southeast Asia's urban centers is creating new demand for fast, efficient, and convenient laundry and household cleaning products."
– According to Nielsen IQ

ACTION'S LARGE & MEDIUM-SIZE PACKS ARE GROWING, DRIVEN HEAVILY BY PROMOTION

Large to medium-sized packs like 800, 3000, and 4500 have value (%) share dominate

Action	MAT 2YA	MAT TY	Big	MAT 2YA	MAT TY
3000	2.1	3.4 ▲	3000	9.8	5.7 ▼
400	2.5	3.3 ▲	400	15.0	10.1 ▼
4500	3.7	3.4 ▼	4500	3.5	7.7 ▲
800	3.1	4.1 ▲	800	12.0	9.3 ▼
Others	1.2	5.5	Others	14.5	11.7

%Saving Rate (compared with base size 400g)

Packsizes (g)	Action	Big	Cheapo	Dirtygone
4500	13.1	12.1	10.4	13.6
3000	9.7	10.8	13.9	
800	0.5	0.9	2.7	4.6

Weak economic value

Action's pack growth is highly promotion-led

Packsizes (g)	Time	Promo%	Volume Growth
800	Aug'14	33%	+21%
	Sep'14	57%	
3000	Aug'14	47%	+52%
	Sep'14	67%	
4500	Aug'14	57%	+24%
	Sep'14	73%	

Action's growth is driven by heavy promotion, display programs and basket deals for 800g up (retailers' feedback on Action promo)

- Promotions drove growth in Action's 800g and 3kg packs despite weaker value-for-money
- Although Action 4.5kg still holds major share, there was a slight decline (distribution issue/ pack architecture) while Big's 4.5kg pack gained share despite a lower saving rate and less promotional support, likely benefiting from stronger consumer pull and trade-up from smaller packs (400g, 800g, 3000g)

RECOMMENDATIONS

KEY STRATEGY

NICE-TO-HAVE

PLACE

TT South & Central Rural

MT Urban

PRODUCT

REGULAR POWDER
High & long-lasting foam
Efficiency-driven
Packsize: 400g, 800g,
3000g, 4500g

PREMIUM LIQUID
Fast, efficient, and
convenient laundry
Diverse portfolio

PRICE

Affordable

Premium

PROMOTION

Above the line

Raise mass awareness

KOL

TVC, Online
Ads & PR

Below the line

Trigger sales at POS
+ build brand loyalty

Sample

Display program, retailer
incentives, basket deals,
discount, sponsorship

**FORECAST
REVENUE
GROWTH
2016**

Current Porfolio

1.808.214.000 VND

▲ 24,05%

New Product Launch

246.539.513 VND

▲ 16,91%

Total Revenue

2.054.753.513 VND

▲ 40,96%

**40,97%
GROWTH**

thank
you